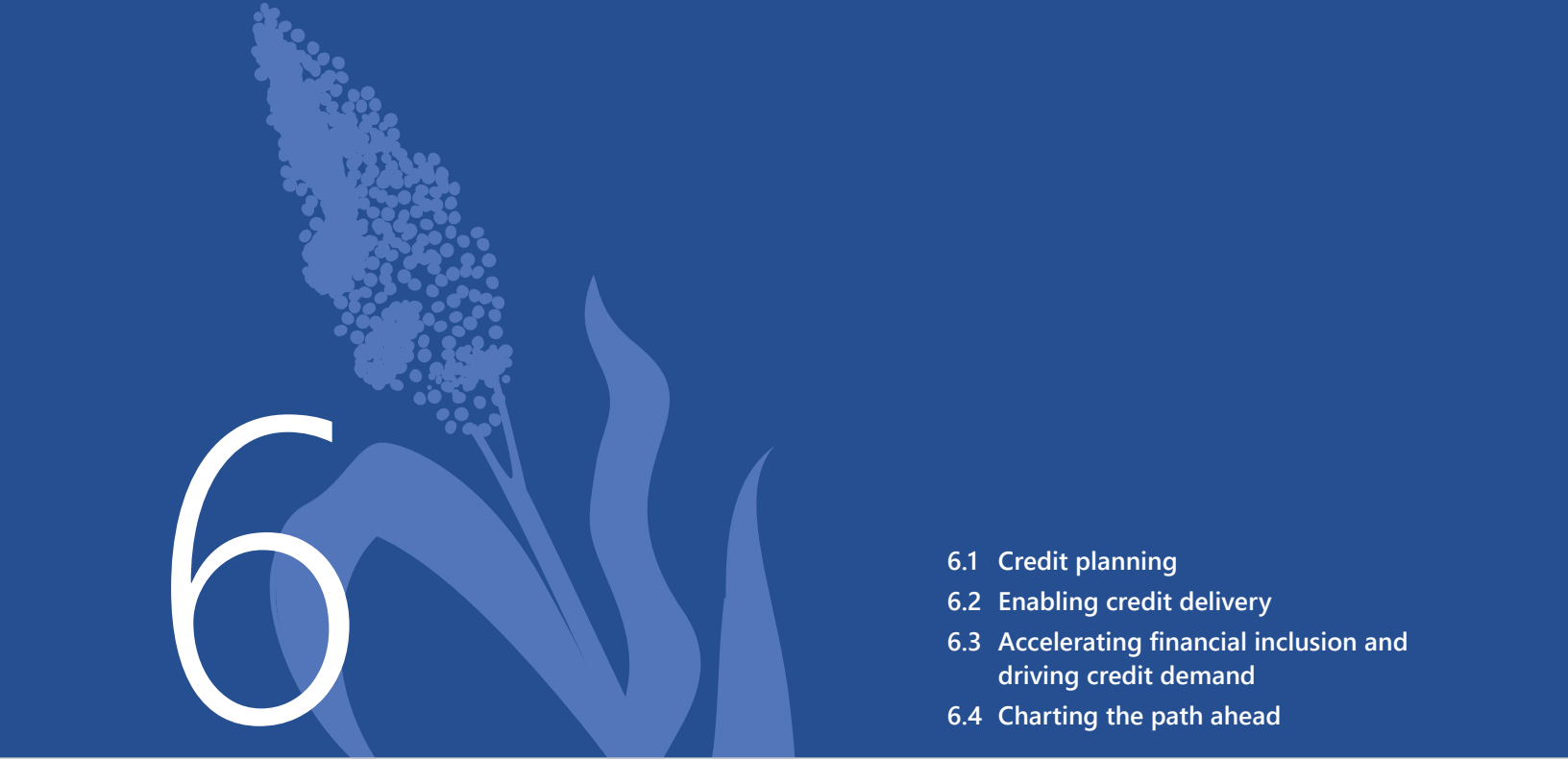




# 6

- 6.1 Credit planning
- 6.2 Enabling credit delivery
- 6.3 Accelerating financial inclusion and driving credit demand
- 6.4 Charting the path ahead

## CREDIT PLANNING, CREDIT DELIVERY, AND FINANCIAL INCLUSION

On the core premise of achieving rural development through better access to credit, NABARD has, over the past 4 decades, catered to the diverse financial needs of communities at the grassroots. Our refinance policy and other credit products have led to credit uptick, especially in agriculture, and this has been driving growth in foodgrains and horticulture production.

NABARD follows a three-pronged approach to achieving development through credit. First, NABARD plays a critical role in the credit planning and monitoring exercise. Second, through its refinance and direct finance products, it ensures and enables credit delivery to the last mile. Lastly, NABARD is deepening financial inclusion to increase rural credit demand. Our interventions and performance along these three prongs during FY2023 comprise the content of this chapter.

## 6.1 Credit planning

For the agriculture sector (India's single largest employer) dominated by small and marginal farmers, adequate and timely supply of bank credit assumes the greatest importance. Therefore, credit planning must suitably factor in the demand perspective.

NABARD has 355 standalone district development managers (DDMs), 59 cluster offices, and 31 regional offices (ROs) serving 753 districts, with a focus on credit planning, monitoring of credit flow, and coordination among various developmental agencies. NABARD prepares annual potential-linked credit plans (PLPs) for all districts. The PLPs assess credit potential under the priority sector, which can be harnessed at the district level, besides presenting a holistic view of infrastructural gap and other support services. During FY2023, NABARD prepared 726 PLPs for FY2024, covering 753 districts, to guide banks in the preparation of credit supply plans.

The credit potential assessed in PLPs of all districts in a state culminates in its State Focus Paper (SFP), which highlights the credit potential, gaps, and strategy for sectoral and infrastructure development of the state. It also highlights the linkage support that government departments would need to provide. The

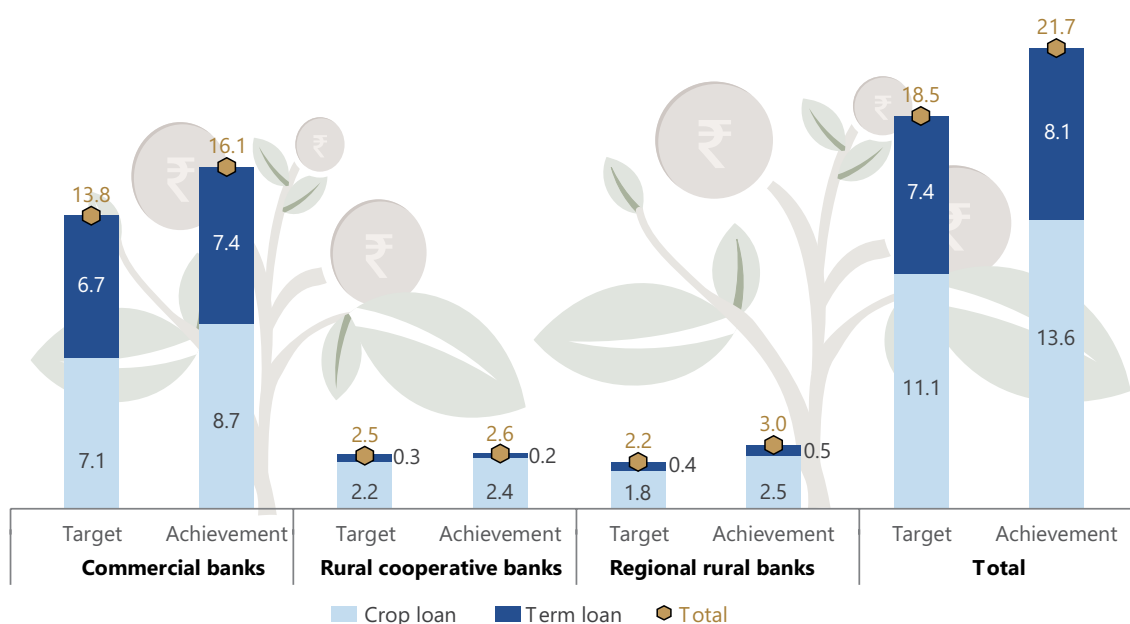
SFP projection for FY2024, under the priority sector across all states is ₹48.2 lakh crore, of which the share of agriculture is 47%.

Issues related to infrastructure gaps, credit flow, etc., highlighted in the SFP are deliberated upon in state credit seminars with participation from state government officials, research institutions, and banks. Suggestions emanating from these seminars help state governments in framing policies and schemes and making suitable budgetary provisions.

To boost agriculture, it is important to ensure timely and hassle-free flow of credit to the farmer. In this context, the government has been fixing annual targets for ground level credit (GLC) for the agriculture sector by scheduled commercial banks (SCBs), regional rural banks (RRBs), and rural cooperative banks (RCBs). During FY2023, ₹21.7 lakh crore has been disbursed (provisional) against the target of ₹18.5 lakh crore, registering 117% achievement (Figure 6.1). Agriculture credit target for FY2024 has been fixed at ₹20 lakh crore (Table 6.1).

For special focus on allied activities, separate GLC targets for working capital and term loans towards allied activities have been fixed (Table 6.2).

**FIGURE 6.1:** Agricultural ground level credit by agency as on 31 March 2023 (provisional data) (₹ lakh crore)



Source: Ensure Portal of NABARD.

**TABLE 6.1:** Ground level credit targets for agriculture by agency, FY2024 (₹ lakh crore)

| <i>Agency</i>           | <i>Crop loan</i> | <i>Term loan</i> | <i>Total</i> |
|-------------------------|------------------|------------------|--------------|
| Commercial banks        | 7.3              | 7.1              | 14.4         |
| Rural cooperative banks | 2.4              | 0.2              | 2.6          |
| Regional rural banks    | 2.5              | 0.5              | 3.0          |
| <b>Total</b>            | <b>12.1</b>      | <b>7.9</b>       | <b>20.0</b>  |

Note: Figures may not add up to the total due to rounding.

**TABLE 6.2:** Ground level credit targets for the allied sector, FY2024 (₹ crore)

| <i>Activity</i>                                | <i>Working capital</i> | <i>Term loan</i> | <i>Total</i>    |
|------------------------------------------------|------------------------|------------------|-----------------|
| Dairy                                          | 39,000                 | 66,000           | 1,05,000        |
| Poultry                                        | 20,000                 | 8,000            | 28,000          |
| Animal husbandry—sheep, goat, pigs, and others | 63,000                 | 72,000           | 1,35,000        |
| Fisheries                                      | 18,000                 | 7,000            | 25,000          |
| <b>Total</b>                                   | <b>1,40,000</b>        | <b>1,53,000</b>  | <b>2,93,000</b> |

## 6.2 Enabling credit delivery

Besides credit planning, NABARD has also been ensuring adequate flow of formal agricultural credit for production and marketing activities and capital formation. The objective of enhanced credit delivery is being achieved through NABARD's refinance activities, channelling centrally sponsored schemes, and direct refinance products.

### 6.2.1 Refinance activities

Refinance is routed through rural financial institutions (RFIs), SCBs, and non-banking financial companies against their loan portfolio to cover diverse credit needs of rural clients. Loans to governments and state-owned corporations for procurement (short-term) and infrastructure projects (long-term) are extended directly. Ground level credit to agriculture encompasses both short-term (ST) working capital and long-term

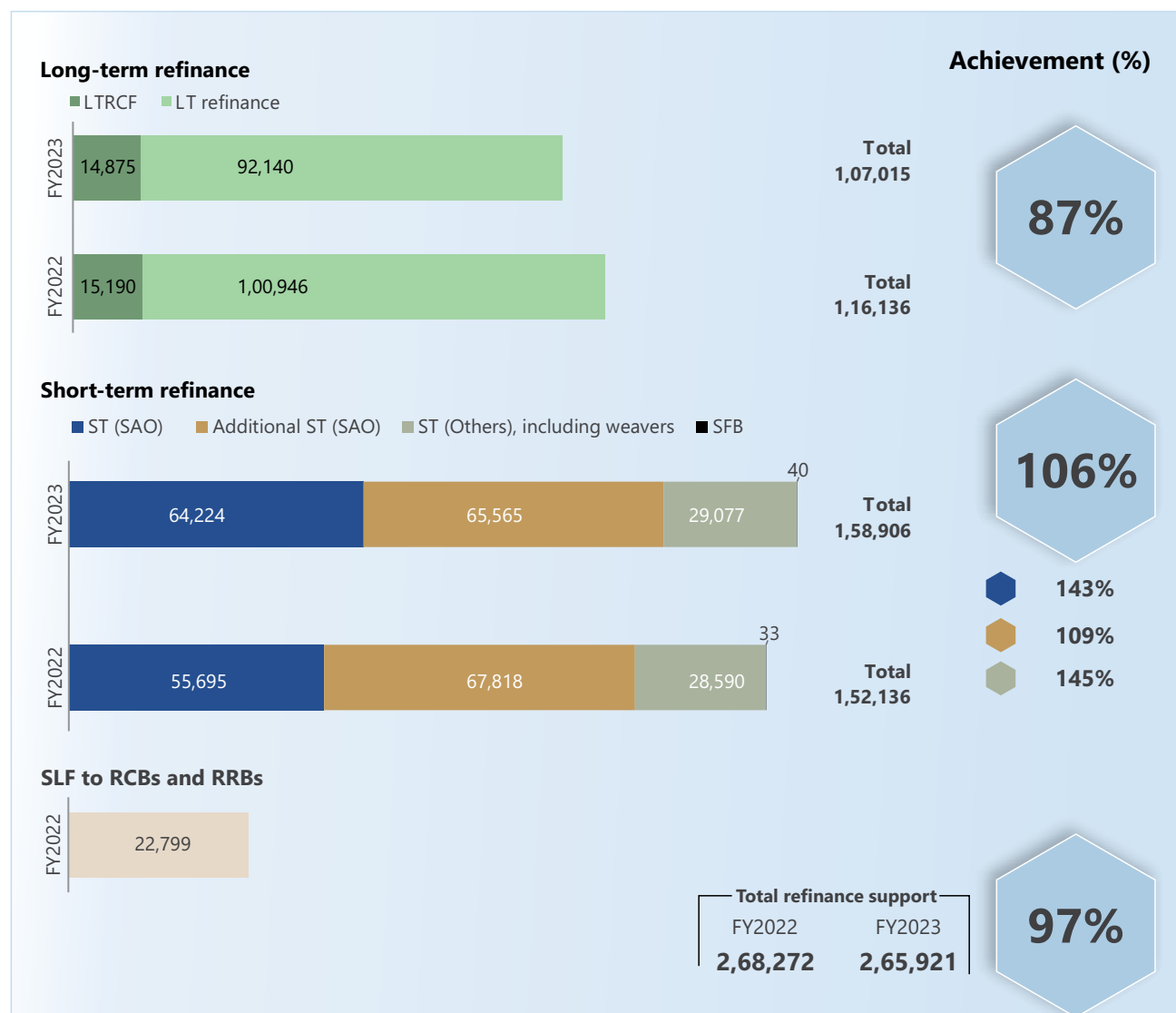
(LT) funds for capital formation extended by RFIs and SCBs.

Over the years, the concessional refinance extended by NABARD, with support of the Government of India (GOI) and the Reserve Bank of India (RBI), under Short Term Cooperative Rural Credit Fund (STCRCF), Short Term Regional Rural Bank (Refinance) Fund (STRRBF), and Long Term Rural Credit Fund (LTRCF) has resulted not only in augmentation of credit, both for agriculture and allied activities, but also made credit at the ground level affordable.

### 6.2.2 Refinance trends

Total ST refinance reached an all-time high disbursement of ₹1.6 lakh crore, surpassing the target for FY2023 (Figure 6.2). The disbursement under LT refinance has been moderate with 86.7% achievement of the target of ₹1.2 lakh crore in FY2023.



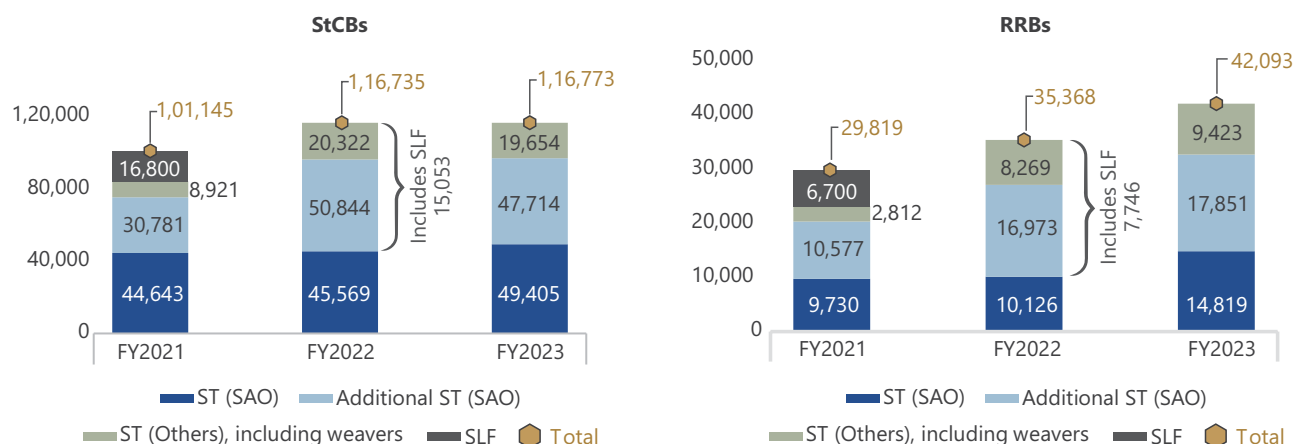
**FIGURE 6.2:** Long- and short-term refinance support (₹ crore)**Notes:**

1. LT = Long-Term, LTRCF = Long Term Rural Credit Fund, RCB = Rural Cooperative Bank, RRB = Regional Rural Bank, SFB = Small Finance Bank, SLF = Special Liquidity Facility, ST = Short-Term, ST (SAO) = Short-Term Credit for Seasonal Agricultural Operations.
2. SLF to RCBs and RRBs in FY2022 already included in Additional ST (SAO) and SAO (Others).
3. No SLF received from the Reserve Bank of India in FY2023.

**Short-term performance**

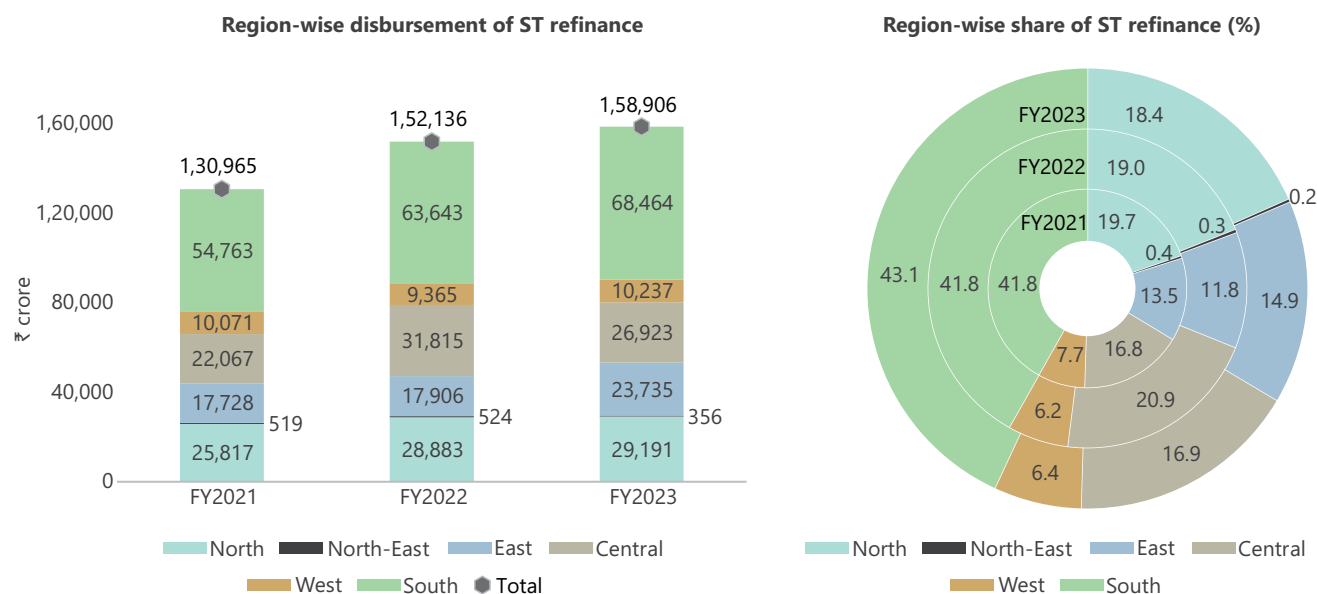
Refinance under the ST facility is provided to cater to the production and working capital requirements of farmers, weavers, and artisans. During FY2023, of the total ST refinance of ₹1.6 lakh crore, 73.5% was disbursed to state cooperative banks (StCBs) and ₹0.4 lakh crore

was disbursed to RRBs (Figure 6.3). Disbursement under ST credit support of NABARD grew at 4% over FY2022. Short-term facility to cooperatives grew at only 0.03%, whereas disbursement to RRBs grew at 19% during FY2023.

**FIGURE 6.3:** Disbursement of short-term refinance by agency (₹ crore)

Notes:

1. RRB = Regional Rural Bank, SLF = Special Liquidity Facility, ST = Short-Term, StCB = State Cooperative Bank, ST (SAO) = Short-Term Credit for Seasonal Agricultural Operations.
2. ST (SAO) is disbursed to StCBs and RRBs through Short-Term Cooperative Rural Credit fund and Short-Term RRB Refinance fund of the Government of India, respectively.

**FIGURE 6.4:** Disbursement and share of short-term refinance by region (₹ crore)

Note: Figures may not add up to total due to rounding off.

In terms of region-wise trends,<sup>1</sup> the southern region has received the largest proportion of ST refinance at 43.1%, followed by the north (18.4%), central (16.9%),

and the east (14.9%). The western region has a very small share (6.4%) in the ST refinance disbursement (Figure 6.4).

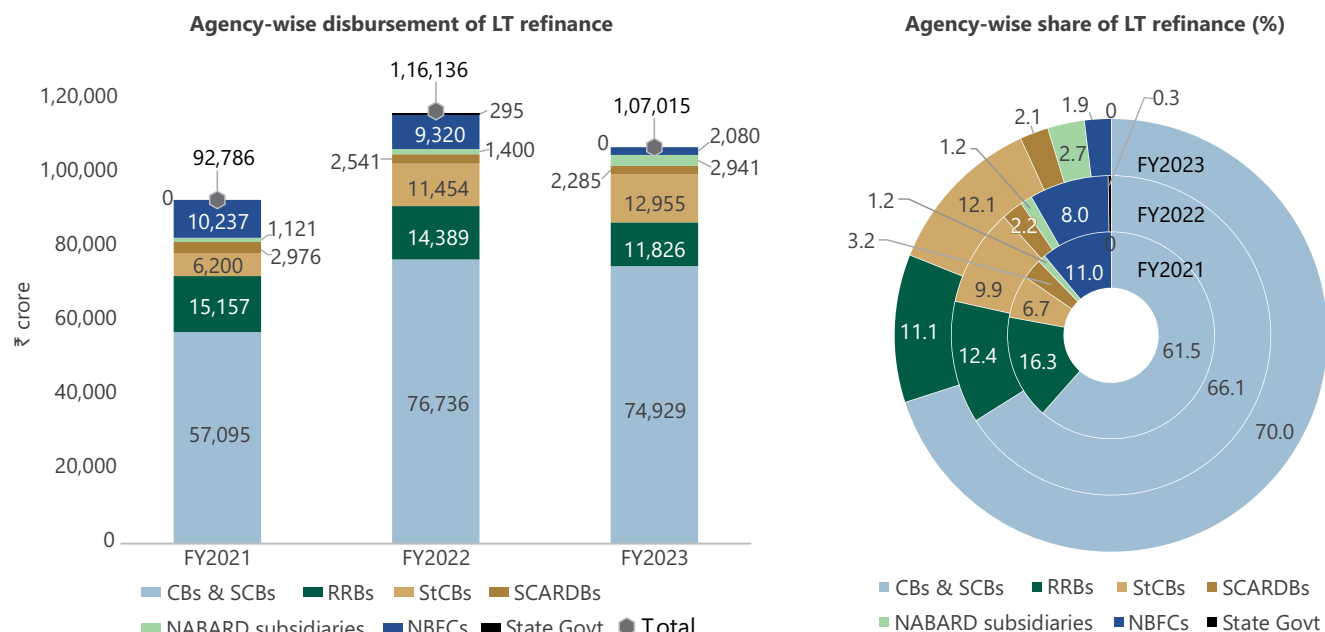


### Long-term performance

Long-term refinance disbursement was at ₹1.1 lakh crore during FY2023, registering a decline by 7.9%. Sizeable share (70%) of disbursement went to SCBs, followed by StCBs (12.1%) and RRBs (11.1%)

(Figure 6.5). Regional disparity is visible even in LT refinance as the major share of refinance offtake was in the south (32.6%), followed by the west (20.0%), north (15.9%), east (15.4%), central (13.9%), and the north-east regions (2.0%) (Figure 6.6).

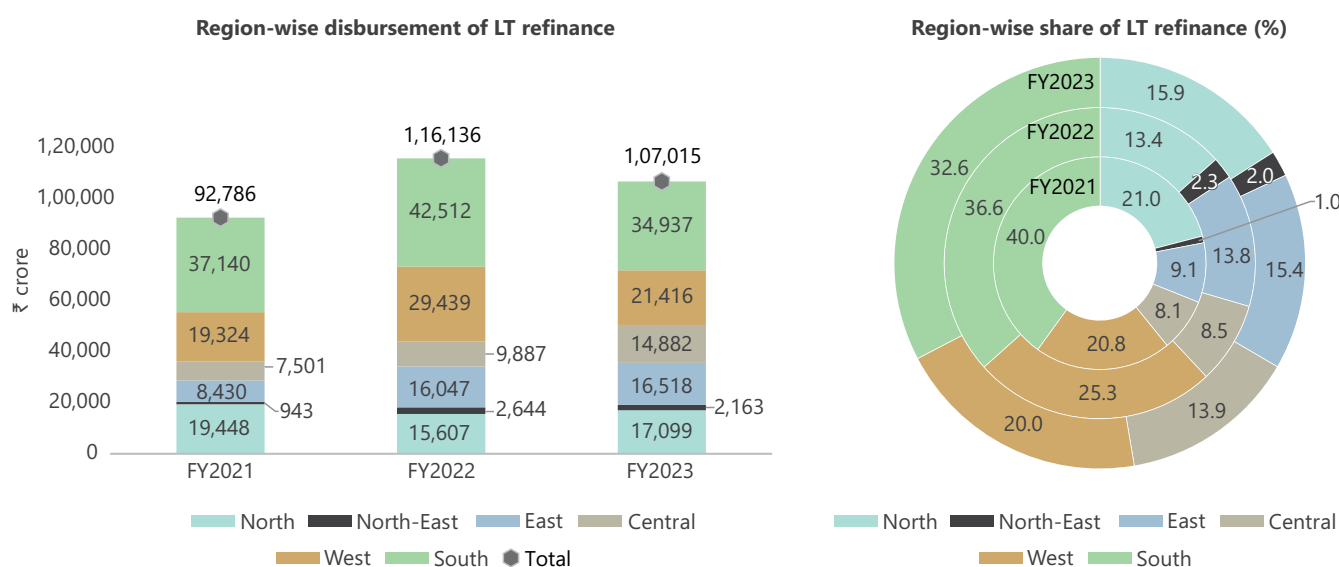
**FIGURE 6.5: Disbursement of long-term refinance by agency (₹ crore)**



Notes:

1. CB = Commercial Bank, NBFC = Non-Banking Financial Company, RRB = Regional Rural Bank, SCARDB = State Cooperative Agriculture and Rural Development Bank, SCB = Scheduled Commercial Bank, StCB = State Cooperative Bank.
2. Figures may not add up to total due to rounding off.

**FIGURE 6.6: Disbursement and share of long-term refinance by region (₹ crore)**



Note: Figures may not add up to total due to rounding off.

The southern region has higher credit absorption capacity because of better infrastructure and outreach, and consequently, improved share. As against this, low density of credit delivery outlets and weak financial health of RFIs could be the constraints to increasing credit flow in credit-starved states in the north-east, east, and central regions.

However, to correct the skewed distribution of refinance, some steps have been taken to ensure more equitable regional offtake, both in terms of ST and LT refinance.

1. Higher quantum of ST refinance for seasonal agricultural operations [ST (SAO)] has been allowed with relaxation in net non-performing asset (NPA) norms in the east and north-east regions.
2. In the north-east, LT refinance has been granted up to 95% of bank loan outstanding vis-à-vis 90% for other regions.
3. Allowing for geographical limitations, eligibility norms for StCBs and RRBs have been relaxed for the east and north-east regions.
4. Of the corpus of STRRBF and LTRCF, 25% has been allocated to RRBs of credit-starved districts.

### 6.2.3 Performance of new refinance products

1. **Special refinance schemes:** To address the issue of reverse migration and boost the agriculture and rural sectors in the post-pandemic era, NABARD introduced three special schemes under which refinance at concessional rates of interest was made available to eligible financial institutions. These schemes also continued in FY2023.
  - a) **PACS as multi-service centres (MSCs):** For establishing decentralised farm-gate post harvest management infrastructure, Agriculture Infrastructure Fund (AIF) scheme of GOI under the Aatmanirbhar Bharat Abhiyan includes primary agricultural credit societies (PACS) as one of the eligible institutions for availing bank loans and claiming interest subvention under the scheme. NABARD introduced the special refinance scheme to saturate all the potential PACS for conversion to MSCs over a period of 3 years, commencing FY2021. Under the scheme, refinance is provided to StCBs at 3% for lending to PACS at 4%, to create quality infrastructure (capital assets) and increase their business portfolio in tune with needs of members. Interest subvention of 3% is available for purposes eligible under AIF, resulting in the

effective rate of 1% to PACS. During FY2023, ₹417.2 crore was disbursed under the scheme. Cumulatively, 3,055 PACS have been given in-principle sanction with estimated project cost of ₹1,760.8 crore and estimated bank loan of ₹1,568 crore by NABARD, against which refinance of ₹508.8 crore has been disbursed under AIF.

- b) **NABARD-supported watershed and wadis:** To enhance GLC flow to the priority sector and make watershed and wadi project areas more sustainable, a special refinance scheme was introduced for beneficiaries in NABARD-supported watershed and wadi projects. Cumulative disbursement under the scheme till 31 March 2023 was ₹337.4 crore. This scheme has now been closed.
  - c) **Promoting micro food processing activities:** The scheme was introduced with concessional rate of interest to give fillip to the recently launched 'Prime Minister's Scheme for Formalisation of Micro Food Processing Enterprises' under the Aatmanirbhar Bharat Abhiyan by the Ministry of Food Processing Industries, GOI. The disbursement under the scheme was ₹43.5 crore during FY2023.
2. **Refinance for water, sanitation and hygiene (WASH):** To provide clean water, sanitation and hygienic conditions to rural and semi-urban areas, and thereby to protect human health during outbreak of infectious disease, NABARD introduced a scheme under which concessional refinance was available to banks and eligible financial institutions for WASH activities. Cumulative disbursement under the scheme till 31 March 2023 was ₹92.1 crore.
  3. **ST refinance to SFBs:** To accelerate financial inclusion by facilitating credit availability to farmers for agricultural operations; working capital loans to micro- and small-sized enterprises; and loans to retail trade, small businesses, professionals, and other unorganised entities at affordable rates of interest, SFBs were made eligible for ST refinance. An amount of ₹40 crore has been extended to Shivalik SFB during FY2023.

### 6.2.4 Initiatives taken during FY2023 to improve refinance offtake

1. **Floating rate under ST (SAO Additional) [ST (ASAO)] and ST (Others):** Keeping in view the requirements of cooperatives and RRBs under ST (ASAO) and ST (Others) facility, flexibility in the rate



of interest has been introduced, wherein the bank has the option of availing refinance at floating rates.

2. **Verification of refinanced assets through NABPARIKSHAN app:** NABARD is undertaking the verification of refinanced assets through the NABPARIKSHAN app. The application enables the ROs and DDMs to monitor and verify the assets for which refinance has been availed in terms of eligibility of assets, purpose, borrower, NPA status, etc. Non-operational during the pandemic, the app was reactivated in October 2022.

### 6.2.5 Other credit products

#### Modified Interest Subvention Schemes

NABARD implements GOI's crop loan interest subvention scheme for RCBs and RRBs, under which interest subvention of 2% is provided to banks for extending crop loans up to ₹3 lakh at a concessional interest rate of 7% per annum. The scheme also provides an incentive of 3% to the farmers making prompt repayment, thereby making credit available at an effective interest of 4% per annum.

Besides loans for raising crops, the government extends similar subvention on loans against negotiable warehousing receipts devised to avoid distress sale of produce by small and marginal farmers.

Interest subvention of 1.5% to banks and 3% to farmers towards prompt repayment incentive is also extended on ST loans of up to ₹2 lakh to animal husbandry and fisheries farmers, provided the loans are extended by banks at 7% per annum. In case of farmers possessing Kisan Credit Cards (KCCs), the interest subvention on short-term loan (for raising crops or activities related to animal husbandry or fisheries) is available on an overall limit of ₹3 lakh per annum.

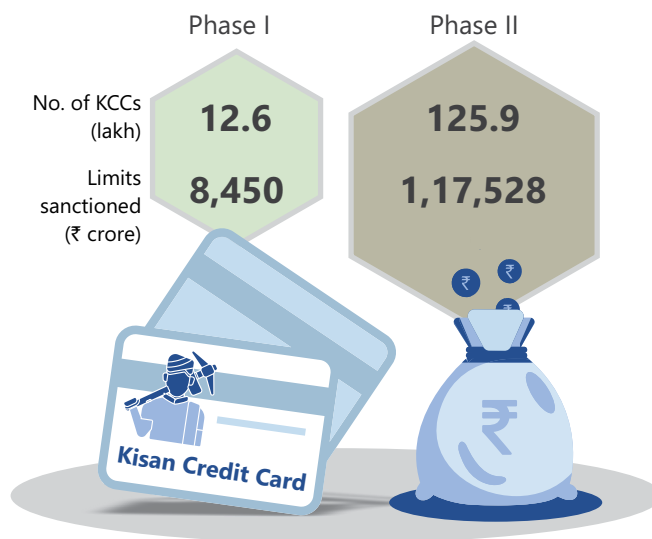
NABARD has released an amount of ₹11,627.9 crore under the interest subvention scheme for ST crop loan during FY2023. NABARD also implements interest subvention scheme under Deendayal Antyodaya Yojana–National Rural Livelihoods Mission for RCBs and RRBs. During FY2023, NABARD has released ₹1,034.6 crore to women self-help groups through cooperative banks and RRBs under this scheme, bringing cumulative disbursement to ₹4,602.7 crore.

#### Kisan Credit Cards

NABARD supported the GOI drive to cover all Pradhan Mantri Kisan Samman Nidhi Scheme beneficiaries under

KCCs with adequate publicity and awareness campaigns across districts. As a result, concerted and sustained efforts by RCBs and RRBs enabled farmers, including dairy farmers and fishermen, to access concessional credit (Figure 6.7).

**FIGURE 6.7:** Kisan Credit Card saturation drive: Progress during FY2023



Note: KCC = Kisan Credit Card.

#### Administering Schemes for Sugar Farmers

1. **Financial assistance to sugar mills for enhancement and augmentation of ethanol production capacity:** This scheme was introduced by GOI to achieve the 20% ethanol-blended petrol target by 2025 by enhancing ethanol distillation capacity in existing mills and setting up new distilleries. The Department of Food and Public Distribution, GOI has given in-principle approval for 1,141 distilleries across 24 states with total financial outlay of ₹1.1 lakh crore as on 31 March 2023. The distilleries are given interest subvention (available for 5 years with 1 year moratorium) on the loan availed from the banks—50% of the interest charged, subject to maximum of 6%. Interest subvention of ₹242.5 crore has been provided to the sugar mills through RCBs, RRBs, SCBs, etc., and 743 quarterly claims have been settled during FY2023. Cumulatively, ₹438.6 crore has been provided to the sugar mills and 1,252 quarterly claims settled.

#### Implementation of capital subsidy schemes of the Government of India

NABARD has been playing an important role in channelling subsidy to eligible banks under various

credit-linked subsidy schemes of GOI, primarily for agriculture projects and priority sector activities (Table 6.3).

**TABLE 6.3:** Performance under capital subsidy schemes of the Government of India in FY2023

| Performance during FY2023                  |       |                |                |
|--------------------------------------------|-------|----------------|----------------|
| Particulars                                | ACABC | New AMI Scheme | Old AMI Scheme |
| No. of units                               | 268   | 746            | 1              |
| Subsidy released (₹ crore)                 | 14.2  | 138.3          | 1.5            |
| Cumulative performance as on 31 March 2023 |       |                |                |
| No. of units                               | 3,458 | 2,819          | 42,260         |
| Subsidy released (₹ crore)                 | 135.5 | 469.1          | 4,466.9        |
| Scientific storage capacity (lakh MT)      | –     | 91.5           | 608.5          |

Notes:

1. ACABC = Agri-Clinic and Agri-Business Centres, AMI = Agriculture Marketing Infrastructure, MT = metric tonne.
2. AMI scheme supports the development and upgrading of Gramin Haats to Gramin Agricultural Markets.
3. ACABC scheme supplements the efforts of public extension by facilitating the setting up of agri-ventures by qualified agricultural professionals.

### 6.2.6 Direct refinance assistance for short-term multipurpose credit

Under this product, a credit limit is sanctioned to well-governed and financially strong ('A' or 'B' rated)<sup>2</sup> StCBs and district central cooperative banks (DCCBs). Cash-credit, operative for 1 year from the date of sanction, covers working capital, repair and maintenance of farm equipment and other productive assets, storage/grading/packaging of produce, marketing activities, etc. The credit limit is also available for a period of 3 months to meet the specific requirements of banks.

Sanction under direct refinance assistance (DRA) registered a significant increase of 16%, i.e., from ₹18,521 crore in FY2022 to ₹21,435 crore in FY2023. Disbursement under DRA increased by 3% from ₹17,573.7 crore in FY2022 to ₹18,179.4 crore in FY2023. In the coming years, we plan to extend DRA to all eligible RCBs.

### 6.2.7 Credit facility to marketing federations

NABARD launched the credit facility to federations (CFF)<sup>3</sup> to provide short-term credit support to state government entities like agricultural marketing

federations, dairy cooperatives, milk unions or federations, etc., for procurement, processing, and marketing of agricultural commodities, input supply, etc.

Sanction under CFF increased by 11%, i.e., from ₹36,435.8 crore in FY2022 to ₹40,606.8 crore in FY2023. The disbursement under CFF was ₹31,437.2 crore during FY2023. The outstanding position as on 31 March 2023 was ₹17,355.2 crore against ₹22,314.9 crore as on 31 March 2022.

Going forward, we envision providing working capital limit under CFF to eligible state entities, for procurement of crops and inputs.

### 6.2.8 Initiatives during FY2023

1. **Sugar Ethanol Portal for interest subvention:** The Sugar Ethanol portal was launched to streamline the process of claims received from the banks and release of interest subvention. This will speed up releases of claims, generation, and tracking of MIS<sup>4</sup> data.
2. **Uploading status of term loan sanction to the Sugar Ethanol Portal:** Department of Financial Services (DFS), GOI has advised NABARD to upload weekly data regarding sanction/disbursement, pending and under process, of term loans granted by banks under financial assistance schemes to sugar mills for enhancement and augmentation of ethanol production capacity. In this connection, NABARD has developed a portal to collect information from RCBs, RRBs, and National Cooperative Development Corporation.
3. **Print campaign for providing KCCs to all farmers:** A print campaign, *Kisan Bhagidari Prathamikta Humaari* (Prioritising Farmer Participation Campaign), was launched to provide KCCs to all eligible farmers including PM Kisan beneficiaries within the overall saturation drive. As the nodal agency, NABARD deliberated with state level bankers' committees, agriculture production commissioners, and other stakeholders in their respective states for the implementation of the campaign. As a part of the campaign, a short film on KCC showcasing its benefits was circulated in seven regional languages.
4. **Kisan Credit Card–Interest Subvention Scheme (KCC–ISS) Portal:** KCC–ISS portal developed by Ministry of Agriculture and Farmers' Welfare (MOA&FW), GOI is now live with ongoing data testing and data entry. NABARD is monitoring



the progress in respect of RCBs and RRBs and has already conducted four online training programmes for nodal officers of RCBs and RRBs with support from MOA&FW.

## 6.3 Accelerating financial inclusion and driving credit demand

Access to a well-functioning financial system can empower farmers and small entrepreneurs by allowing them to better integrate into the formal economy, make use of economic opportunities, and protect themselves from economic uncertainties.

The accelerated transition to digital solutions post-pandemic has unlocked opportunities for micro, small, and medium-sized enterprises to avail of innovative and quality financial products and services, thereby increasing access, reducing transaction costs, and facilitating creditworthiness checks to ultimately create broader inclusion.

NABARD has played a crucial role in developing a structure that has facilitated the deepening of financial inclusion and spreading digital financial awareness/infrastructure at the ground level. NABARD supports the creation of financial inclusion infrastructure of banks and various financial inclusion awareness activities under the aegis of Financial Inclusion Fund (FIF). Demand is stimulated through financial literacy camps undertaken by banks or financial literacy centres, demonstration of technology through mobile vans, spreading messages using audio/visual media, support for handheld projectors to be used for financial literacy activities, and providing good credit counselling through financial literacy counsellors. To augment the supply side of the financial ecosystem, NABARD has also extended support for onboarding to digital platforms, improving connectivity, and meeting regulatory requirements.

### 6.3.1 Financial inclusion initiatives

NABARD had adopted a differentiated strategy in FY2020 to address regional inadequacies and bring about inclusive and equitable financial inclusion across the country. Under this, grant assistance is being provided at an enhanced rate of 90% for Special Focus Districts that include aspirational districts; districts affected by left-wing extremism; districts in hill states (including the north-east), Andaman & Nicobar Islands and Lakshadweep; and credit-starved districts identified by the RBI.

NABARD, through FIF, supports developmental and promotional activities detailed in Box 6.1.

#### Box 6.1: Activities supported under Financial Inclusion Fund during FY2023

##### Financial inclusion

- Prioritising financial inclusion, expanding the scope of financial literacy activities, and coverage of capacity building initiatives through differentiated banks and institutions
- Sensitising the staff of regional rural banks (RRBs) and rural cooperatives banks (RCBs) on financial inclusion in a focused manner
- Training of business correspondents/business facilitators of banks with the support of institutions like the Indian Institute of Banking and Finance
- Providing support to banks for setting up financial literacy centres and strengthening Rural Self-Employment Training Institutes

##### Banking technology

- Providing support to RRBs and core banking solution-enabled cooperatives for adopting information, communication, and technology solutions to extend their outreach
- Encouraging RCBs and RRBs across the country to issue RuPay Kisan Credit Cards to all eligible farmers
- Actively pushing the issuance of cards in coordination with the National Payment Corporation of India and through interactions with sponsor banks of RRBs and cooperative banks
- Working towards the goal of developing a cashless ecosystem in rural India by supporting the creation of digital payments acceptance infrastructure
- Undertaking policy formulation, capacity building, and networking with various stakeholders to achieve the above objectives
- Providing support to RRBs and RCBs to onboard various regulatory platforms

Activities under FIF such as those described in Box 6.1 aim at the

- creation of financial inclusion infrastructure across the country,
- capacity building of various stakeholders,
- creation of awareness to address demand-side issues,



- enhanced investment in green information and communication technology solutions,
- research and transfer of technology, and
- increased technological absorption capacity of financial service providers/users with a view to securing greater financial inclusion.

As on 31 March 2023, cumulative sanction under FIF stood at ₹5,459 crore and disbursement at ₹3,058 crore.

### 6.3.2 New initiatives under FIF

#### *Account aggregator*

An account aggregator (AA) is an RBI regulated entity (with an NBFC-AA license) that helps an individual securely and digitally access and share information from one financial institution they have an account with to any other regulated financial institution in the AA network. Data cannot be shared without the consent of the individual.

NABARD, being a front runner in the adoption of latest technologies, has got approval from RBI to onboard to the AA system as a Financial Information User. NABARD intends to leverage the prowess of the AA system for monitoring the various financial transactions digitally.

As directed by the DFS, GOI, NABARD has been an active facilitator in guiding RCBs and RRBs for onboarding to the AA ecosystem by conducting various workshops and handholding sessions.

#### *Digitalisation of loan origination and management system*

NABARD as a development financial institution has been spearheading the digitalisation of loan origination and management system in India for bringing transparency into banking and agriculture, improving loan management, and reducing bad debts (Showcases 6.1 and 6.2).

### SHOWCASE 6.1: Deploying point-of-sale and mobile point-of-sale devices

- A. Regional office/training establishment:** Gujarat
- B. Year:** FY2023
- C. Initiative:** Support deployment of point-of-sale (POS) and mobile point-of-sale (mPOS) devices to Paytm Payment Bank Ltd
- D. Location:** Tier III to Tier VI centres across Gujarat
- E. Beneficiaries/target group:** Small merchants/traders
- F. Challenges faced**
  - High value and cost of cash transactions
  - Lack of awareness about cashless transactions
- G. Solutions provided with support from Financial Inclusion Fund**
  - 1,000 POS devices were deployed across different merchant categories
  - ~20% devices were deployed in Tier V and Tier VI centres
  - Active devices: ~94% deployed devices are active
- H. Output>>Outcomes>>Impact**
  - 1.3 lakh transactions processed
  - Goods worth ₹54.1 crore purchased at supported merchant points
  - Increased digital transactions in rural areas
  - Support to banks to enrol more merchant establishments



## SHOWCASE 6.2: Taking banking to customers via mobile ATMs

**A. Initiative:** Mobile ATM vans

**B. Implementing agency:** Adilabad District Central Cooperative Bank

**C. Location:** Kumuram Bheem Asifabad District, Telangana

**D. Challenges faced**

- Percentage of households availing banking services is only 50.3%<sup>a</sup>
- Only one banking touch point for every 27.6 square kilometres
- Most branches/ATMs are concentrated in the urban centres, leaving many villages in the interiors deprived of formal banking services

**E. Purpose:** Close gap in digital financial literacy while enabling banks to provide digital banking services to last mile customers

**F. Intervention**

- The mobile ATM van has a fixed monthly schedule for touring selected remote areas that do not have ATM/other cash withdrawal facilities.
- The van is well equipped with financial literacy materials on the opening of savings bank accounts, social security schemes, etc.

**G. Output>>Outcomes>>Impact**

- Covering an average of 12 villages per month
- Extending digital services to an average of 29 customers per day
- Increasing awareness and familiarisation of rural folk with digital banking



<sup>a</sup>According to data available with administrative training institute of Government of Telangana.

Note: ATM = Automated Teller Machine.



### NABARD and the G20

India's financial inclusion story marks the unprecedented cooperation between Government of India, Reserve Bank of India, and all the other stakeholders. India's G20 Presidency based on the theme of *Vasudhaiva Kutumbakam* or 'One Earth, One Family, One Future' underlines the message of equitable growth and a shared future for all. NABARD has been enlisted as the knowledge partner by the Department of Economic Affairs (DEA), Ministry of Finance, Government of India for facilitating the work of the Global Partnership for Financial Inclusion under the Finance Track of G20. As a part of the mega event, NABARD is actively participating with DEA and RBI in highlighting India's achievements in digital financial inclusion (Showcase 6.3).

### 6.4 Charting the path ahead

During its journey of 4 decades, NABARD has facilitated credit expansion and penetration to all parts of the country. We have not only taken steps to increase the credit supply, but also designed policy to address demand-side challenges. These initiatives have been instrumental in expanding credit flow. Our focus has been on effective monitoring of refinance to mitigate credit risk and enhance accessibility of credit in under-served regions. Going forward, we will strive to bridge inequities in credit access through innovative credit delivery models and digitalisation measures. The aim would be to leverage digital technology to reimagine RCBs and RRBs for fulfilling the aspirations of rural India. For supporting sustainable solutions in the form

#### SHOWCASE 6.3: NABARD and the G20

During the year, two events were held at Kolkata and Bengaluru wherein NABARD's message on 'Reaching the Last, the Lost, and the Least' through adoption of digital interventions was effectively portrayed through appropriate display collaterals in the form of videos and success stories.



RBI Governor Shaktikanta Das visiting NABARD's stall in G20 exhibition



of digital technologies to overcome issues plaguing agriculture and rural development, a Technology Facilitation Fund with a corpus of ₹50 crore has been created under Section 45 of the NABARD Act, 1981, drawn from the Bank's profits for FY2023. This fund shall be utilised specifically for digital interventions and initiatives, create common technology infrastructure, defray costs to scale up digital interventions, and support pilots for potential technological interventions.

NABARD will continue to focus on refinance in aspirational and credit-starved districts by earmarking targets under ST and LT refinance. The goal would be to sustain refinance through the expansion of client base and scaling up of engagement for extending refinance to smaller RRBs/RCBs/SFBs. Innovative measures such as special refinance schemes for accelerating capital formation in agriculture and development of new refinance products in emerging areas such as green financing will be taken up.

Along with refinance, emphasis will be on strengthening the digital financial ecosystem, thereby augmenting financial inclusion through the use of

technology and promoting financial awareness. The next big things like quantum computing, artificial intelligence, big data, and other new technologies, have tremendous potential for catapulting NABARD's financial inclusion drive to newer heights.

## Notes

1. States and Union Territories by region
  - *South:* Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Puducherry, and Lakshadweep
  - *West:* Gujarat, Goa, Maharashtra, Dadra & Nagar Haveli, and Daman & Diu
  - *North:* Haryana, Himachal Pradesh, Punjab, Rajasthan, Jammu & Kashmir, Delhi, and Chandigarh
  - *Central:* Madhya Pradesh, Chhattisgarh, Uttar Pradesh, and Uttarakhand
  - *East:* Bihar, Jharkhand, Odisha, West Bengal, and Andaman & Nicobar Islands
  - *North-East:* Assam, Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Tripura, Nagaland, and Sikkim
2. Rating as per latest inspection report of NABARD.
3. Under Section 30 of NABARD Act, 1981.
4. MIS = Management Information System.

